CORPORATE LAWS & PRACTICES

Suggested Answers
May 2026

Answer to the Question# 1(a)(i):

Legality of Issue of Bonus Shares

Relevant legal provisions

Under the Companies Act, 1994, bonus shares may be issued provided that:

- Bonus shares are issued out of free reserves, securities premium collected in cash, or capital redemption reserve;
- The company has sufficient undistributed profits;
- Issue of bonus shares is authorised by the Articles of Association;
- There is no default in payment of interest or principal in respect of fixed deposits or debentures (as per accepted corporate governance principles and regulator guidance).

Computation of bonus shares

- Paid-up share capital = Tk. 6.00 crore
- Face value per share = Tk. 10
- Number of shares in issue = 6.00 crore ÷ 10 = 60 lakh shares

Proposed bonus ratio = 1 : 5
Bonus shares to be issued = 60 lakh ÷ 5 = 12 lakh shares
Amount required for bonus issue = 12 lakh × Tk. 10 = Tk. 1.20 crore

Availability of eligible reserves

Source	Tk. (crore)
Securities Premium	1.20
General Reserve	0.80
Retained Earnings	0.50
Total Available	2.50

Required for bonus issue = Tk. 1.20 crore
Available eligible Reserves = Tk. 2.50 crore

Conclusion

Alpha Manufacturing PLC can legally issue the proposed bonus shares, as:

- The company has sufficient free reserves;
- Securities premium alone is adequate to support the bonus issue;
- There is no indication of any statutory default;
- Paid-up capital after bonus (Tk. 7.20 crore) remains within the authorised capital of Tk. 10 crore.

Therefore, the proposed bonus issue complies with the Companies Act, 1994.

Answer to the Question# 1(a)(ii):

Legality of Loan to Director

Relevant legal provision

Section 103 of the Companies Act, 1994, Loan to a director of a public company (not a Bank) is restrictive or conditional:

Conditions of the law:

- The proposed amount is limited up to the 50% of paid-up value of his capital
- The loan is approved by the Board and AGM as well fairly presented in the Financial Statements.

Conclusion

The proposed loan to Mr. X amounting to Tk.60 lakh may be permissible under the Companies Act, 1994, if it fulfills the above conditions.

Answer to the Question# 1(b)(i):

Under Section 106 of the Companies Act, 1994, removal of a Managing Director requires a special resolution of general meeting. A board resolution alone is insufficient for statutory removal. Separately, removal may amount to breach of the service contract, giving rise to contractual damages even if statutory procedures are followed.

Answer to the Question# 1(b)(ii):

Failure to hold the AGM within the prescribed time violates Section 81 of the Companies Act, 1994 and attracts penalties irrespective of disputes concerning the Managing Director, it may also require permission of the court to hold its AGM, which involves both time and cost.

Answer to the Question# 1(b)(iii):

Mr. Rahim may claim damages for breach of his service contract. Reinstatement is generally not ordered, but declaratory relief regarding invalid removal may be sought. Shareholders may apply to court to hold AGM and to cancel the decision of the Board.

Answer to the Question# 1(c)(i):

The reduction of share capital is void as Section 59 of the Companies Act, 1994 requires special resolution and court confirmation. Until confirmation, the reduction has no legal effect.

Answer to the Question# 1(c)(ii):

Creditors retain the right to challenge the reduction because creditor protection is a mandatory statutory requirement, regardless of whether accounts have already been adjusted.

Answer to the Question# 1(c)(iii):

If the court rejects the reduction, directors may be liable for breach of statutory duty and for authorising misleading financial statements.

Answer to the Question# 2(a)(i):

Statutory Breaches, Legal Liabilities and Regulatory Consequences

The findings of the forensic audit indicate multiple contraventions of Bangladeshi securities and corporate laws exposing XYZ AgroTech Limited to significant regulatory and financial consequences.

Firstly, the delayed publication of audited financial statements beyond the 120 days' timeline violates the BSEC Rules, Regulations, and circulars governing timely financial reporting by listed companies and undermines IFRS compliant disclosure. Such failure attracts regulatory penalties, directives for restatement, and potential suspension of trading under the Securities and Exchange laws.

Secondly, the non-disclosure of related party transactions (RPTs) amounting to BDT 75 crore breaches the Companies Act, 1994, the BSEC Corporate Governance Code, and securities disclosure requirements. This may result in monetary penalties, restatement of financial statements, and regulatory sanctions against both the company and responsible officers.

Thirdly, circular trading and price manipulation resulting in a 42% artificial price increase constitutes a serious offence under the Securities and Exchange Ordinance, 1969, exposing the company and involved parties to fines, disgorgement of unlawful gains, cancellation of registrations, and criminal prosecution.

Finally, persistent non-compliance with corporate governance requirements may lead to enforcement actions including trading suspension, directives for board reconstitution, and adverse regulatory findings impacting future capital market access.

Answer to the Question# 2(a)(ii):

Impact on Investor Confidence, Market Perception and Valuation

The violations seriously damage investor confidence and institutional trust, particularly due to market manipulation and undisclosed RPTs, which compromise transparency and fairness. Institutional investors may reassess risk exposure, leading to withdrawal of funds and reduced liquidity.

The temporary suspension of trading by BSEC, coupled with adverse media coverage of enforcement actions, amplifies reputational damage and signals governance weaknesses to the market. Such developments typically result in valuation discounts, increased cost of capital, and long term impairment of shareholder value.

Regulatory intervention and negative publicity may further erode public confidence, affecting the company's standing with lenders, foreign buyers, and strategic partners.

Answer to the Question# 2(a)(iii):

Compliance and Remediation Action Plan
The company should adopt an immediate and structured remediation plan, including:

- Strengthening internal control systems, particularly over financial reporting, related party transactions, and compliance monitoring.
- Restoring full compliance with the BSEC Corporate Governance Code by appointing required Independent Directors and ensuring regular, documented Audit Committee meetings.
- Rectifying financial reporting lapses through prompt publication of audited accounts and enhanced disclosures.
- Establishing clear protocols for market sensitive information and trading surveillance.

Further, the company should engage transparently with BSEC and consider settlement or consent mechanisms, such as compounding of offences or consent orders, where permissible, to mitigate enforcement severity. Proactive communication with shareholders and institutional investors is also essential to rebuild trust.

Answer to the Question# 2(a)(iv):

Responsibilities and Liabilities of the Board and Audit Committee
Under the Companies Act, securities laws, and BSEC Corporate Governance Code, the Board of Directors bears primary responsibility for ensuring compliance, integrity of financial reporting, and protection of shareholder interests. Failure in oversight may result in personal liability, regulatory penalties, and director disqualification or removal for breach of fiduciary duties.

The Audit Committee has a heightened responsibility to oversee financial reporting, related party transactions, and internal controls. Lack of documented meetings and ineffective monitoring indicates failure to discharge statutory duties, exposing committee members to regulatory scrutiny.

To enhance oversight, the Board and Audit Committee should strengthen compliance culture, ensure independence and competence of committee members, and implement periodic compliance and risk reviews aligned with BSEC regulations.

Answer to the Question# 2(b)(i):

Disclosure and Compliance Obligations
Legal framework:

- Securities and Exchange Ordinance, 1969 – disclosure of beneficial ownership exceeding 10%
- BSEC Corporate Governance Code (CGC), 2018 – disclosure of sponsor shareholding and related party transactions.
- Companies Act, 1994 – statutory disclosure obligations.

Checklist & actions:

- Obtain declarations from sponsors/directors on direct and indirect beneficial ownership.
- Reconcile sponsor shareholding with CDBL and custodian records.
- Immediately disclose the additional 10% undisclosed beneficial ownership to BSEC and stock exchanges.
- Identify and disclose all related party transactions in accordance with IAS 24 and CGC.

Answer to the Question# 2(b)(ii):

Board Governance and Committee Integrity
Legal framework:

- BSEC CGC Condition 5 – Audit Committee must include at least one Independent Director.
- Condition 6 – CEO appointment must be recommended by NRC.

Checklist & actions:

- Review independence and eligibility of Audit Committee members.
- Reverse improper reconstitution of the Audit Committee and appoint a qualified Independent Director.
- Re initiate CEO appointment through NRC recommendation and proper board resolution.
- Ensure proper documentation of board and committee minutes.

Answer to the Question# 2(b)(iii):

Regulatory Risk and Company Exposure
Legal framework:

- BSEC enforcement powers under securities laws.

Checklist & actions:

- Respond to BSEC show cause notice within stipulated time.
- Prepare a compliance deviation and rectification report.
- Assess risks of penalties, sponsor disqualification, and trading suspension.
- Submit a corrective action plan evidencing governance improvements.

Answer to the Question# 2(b)(iv):

Fiduciary and Ethical Responsibilities
Legal framework:

- Companies Act, 1994 and common law fiduciary duties.
- BSEC CGC – protection of minority shareholders and ethical conduct.

Checklist & actions:

- Advise directors on duties of good faith, disclosure, and avoidance of conflict of interest.
- Strengthen the role of independent directors and whistle blower mechanism.
- Recommend adoption of Board Charter and Code of Conduct.
- Arrange governance and ethics training for directors.

Answer to the Question# 3(a):

Auditor's duties:

- Under FRC-adopted auditing standards and Section 40 onwards, the auditor must ensure the financial statements are free from material misstatement.
- If management refuses to correct material misstatements, the auditor **must issue a qualified or adverse opinion**, or **withdraw** from the engagement.
- The auditor is also required to communicate such misconduct to those charged with governance.

FRC actions against the CFO:

- **Initiate investigation for financial reporting misconduct.**
- **Impose monetary penalties and professional sanctions.**
- **Refer** the case to the Tribunal due to deliberate manipulation.
- Require correction and reissuance of financial statements.

Intentional misstatement is a **serious offence** under the Act.

Answer to the Question# 3(b)(i):

Compliance with financial reporting obligations

Under the Financial Reporting Act, 2015, the Financial Reporting Council (FRC) is entrusted with the responsibility of adopting accounting standards and ensuring compliance with IFRS by Public Interest Entities (PIEs). PIEs are subject to enhanced scrutiny due to their public accountability and are expected to prepare financial statements in full compliance with applicable IFRSs, without material departure.

IAS 19 Employee Benefits requires that defined benefit obligations, including gratuity schemes, be measured using the projected unit credit method, supported by a professional actuarial valuation at the reporting date. Recognition of gratuity liabilities on a purely cash or pay as you go basis is not permitted under IAS 19, except in limited circumstances that are not applicable here.

In the given case, XYZ Power Ltd. failed to obtain an actuarial valuation for its gratuity obligation and did not disclose any justification for non-compliance. This constitutes a departure from IFRS as adopted in Bangladesh, resulting in potential understatement or mismeasurement of employee benefit liabilities.

Accordingly, despite timely filing with the RJSC, XYZ Power Ltd. has not complied with its financial reporting obligations under the Financial Reporting Act, 2015, as its financial statements do not conform to IFRS requirements applicable to PIEs.

Answer to the Question# 3(b)(ii):

Regulatory implications of such non compliance

Under section 45 of the Financial Reporting Act, 2015, the FRC has the authority to review financial statements of Public Interest Entities and to require explanations, additional information, or clarifications where non-compliance with IFRS is identified.

Further, under section 46, where a PIE fails to comply with applicable financial reporting standards, the FRC may take enforcement actions, including:

- issuing directions for corrective or revised financial reporting,
- initiating formal inquiry or investigation, and
- imposing sanctions or regulatory measures in accordance with the Act.

Such non-compliance may also result in heightened regulatory monitoring in subsequent periods and may adversely affect the entity's governance credibility and regulatory standing, particularly given the enhanced expectations applicable to Public Interest Entities.

Answer to the Question# 4(a)(i):

Willful default, meaning, classification and remedies

Meaning of Willful Default

Under the Bank Company Act, 1991 (as amended) read with Bangladesh Bank prudential regulations and circulars on willful defaulters, *willful default* arises where a borrower:

- Deliberately fails to repay bank dues despite having the financial capacity; or
- Diverts loan funds for purposes other than those for which the facility was sanctioned; or
- Misrepresents, suppresses or falsifies material facts, including collateral valuation, at the time of availing credit; or
- Creates or contributes to a situation where recovery is defeated through intentional acts or omissions.

Applicability to the Borrower

In the present case, EverGreen Industrial Solutions (Private) Limited:

- Diverted loan proceeds to unconnected ventures; and
- Obtained credit on the basis of collateral inflated far above market value.

These acts demonstrate intentional misuse of funds and misrepresentation, satisfying the criteria for willful default.

Classification Procedure and Remedies

- The bank must issue a show-cause notice and place the matter before an appropriate internal committee as per Bangladesh Bank guidelines.
- The borrower must be given an opportunity of being heard before final classification.
- Upon approval, the classification is reported to Bangladesh Bank.
- The borrower may seek administrative review or make representation in accordance with applicable regulatory processes.

Conclusion: The borrower qualifies for classification as a willful defaulter.

Answer to the Question# 4(a)(ii):

Liability of personal guarantor in willful default

Legal Position of a Guarantor

Under the Contract Act, 1872 (as applied in banking law) and reinforced by Bangladesh Bank directives:

- The liability of a guarantor is co-extensive with that of the principal debtor, unless otherwise agreed.
- Upon default, the bank is entitled to proceed directly against the guarantor without first exhausting remedies against the borrower.

Guarantor's Liability in Willful Default

Bangladesh Bank guidelines provide that a guarantor may be classified as a willful defaulter where:

- The guaranteed facility is found to involve willful default; and
- The guarantor, despite having financial capacity, refuses to honour the guarantee.

Effect of Claim of Ignorance

- A plea of ignorance regarding inflated collateral or fund diversion does not absolve the guarantor.
- By executing the guarantee, the guarantor assumes responsibility for repayment upon default, irrespective of internal management failures or alleged lack of knowledge.

Conclusion: Mr. Rahman remains liable and may be classified as a willful defaulter due to his refusal to repay despite financial capacity.

Answer to the Question# 4(a)(iii):

Bank's due diligence obligations and regulatory consequences

Due Diligence Obligations
Under the Bank Company Act, 1991 and Bangladesh Bank prudential guidelines, banks are required to:

- Conduct independent verification of collateral valuation, including periodic re-valuation;
- Assess borrower intent, integrity, and end-use of funds;
- Avoid over-reliance on borrower-nominated valuers without adequate scrutiny.

Regulatory Consequences of Failure
Failure to discharge due diligence may expose the bank to:

- Supervisory observations and compliance directives from Bangladesh Bank;
- Monetary penalties and adverse inspection ratings; and
- Personal accountability of responsible officers under the Bank Company Act.

Conclusion: While borrower misconduct establishes willful default, regulatory action against the bank may arise if due diligence failures are established.

Answer to the Question# 4(b):

According to section 27(1) of the Banking Companies Act, 1991, no banking company shall grant any loan or advance to any of its directors or to any company in which the director is interested without prior approval of Bangladesh Bank.

In this case, XYZ Bank Limited granted the loan to a company in which Mr. Alam, a director, has substantial interest, and no prior approval from Bangladesh Bank was obtained. Therefore, the loan is in violation.

Legal Consequences:

1. Bangladesh Bank may direct XYZ Bank Limited to recover the loan immediately.
2. Under Section 46, Bangladesh Bank may remove the directors involved in such a transaction.
3. The act may be treated as mismanagement or misconduct, and the bank may face regulatory penalties.

The loan is invalid under the Banking Companies Act, 1991, due to non-compliance with section 27, and the directors as well as the bank may face legal and regulatory consequences.

Answer to the Question# 5(a):

The failure was primarily driven by weak governance architecture and ineffective oversight:

1. Board Information Failure:
   - Board received filtered and summarized reports
   - Did not see true asset quality position

2. Management Misrepresentation:
   - Intentional dilution of risk reports
   - Suppression of adverse findings

3. Weak Risk Governance:
   - Risk management unit's warnings were ignored or altered
   - No escalation mechanism to Board committees

4. Ineffective Audit & Oversight:
   - Lack of challenge to management assumptions
   - No independent verification of loan classification

5. Concentration of Decision Power:
   - Over-centralization in senior management
   - Weak checks and balances

Conclusion:
Governance structure existed in form but failed in substance and effectiveness, violating the spirit of prudential governance under the Act.

Answer to the Question# 5(b):

Early intervention under a risk-based supervisory framework could have significantly reduced systemic damage:

1. Early Warning Detection: Identification of -
- Rapid loan rescheduling patterns
- High concentration exposures
- Unusual deposit dependency

2. Strict Asset Classification Enforcement:
- Immediate recognition of restructured loans as impaired where applicable
- Prevention of artificial profit reporting

3. Liquidity Monitoring:
- Mandatory liquidity stress testing
- Monitoring dependence on top depositors

4. Targeted On-site Inspection: Early inspection of -
- Loan restructuring practices
- Related party exposure
- Risk report suppression

5. Corrective Supervisory Actions: Restrictions on new lending, dividend distribution and deposit mobilization rates.

6. Governance Intervention: Requirement to -
- Strengthen Board independence
- Improve risk committee functioning
- Replace key risk officers, if necessary

Answer to the Question# 6(a):

Under **Section 41(1)** of the Insurance Act, 2010, insurers are required to invest their controlled funds strictly in accordance with the directions and limits prescribed by the Insurance Development and Regulatory Authority (IDRA). Further, **Section 42(2)** restricts insurers from holding shares or securities beyond the limits specified by regulations or directives.

In accordance with IDRA directives, any investment made in excess of the permitted exposure limits is treated as **inadmissible for the purpose of determining solvency margin**.

- Investment in unlisted equity shares of the sponsoring company: **BDT 420 million**
- Such investment exceeds the regulatory exposure limits
- Therefore, the excess investment is fully inadmissible for solvency purposes

Inadmissible assets = BDT 420 million

Particulars	**Amount (BDT million)**
Available Solvency Margin (as reported)	210
Less: Inadmissible assets	(420)
Adjusted Available Solvency Margin	(210)

Answer to the Question# 6(b):

Compliance with Statutory Solvency Requirement

Under **Section 43(1)** of the Insurance Act, 2010, every insurer is required to maintain at all times an excess of the value of its assets over its liabilities of not less than the **Required Solvency Margin**, as prescribed by IDRA.

Further, **Section 43(4)** empowers the Authority to verify admissibility of assets and recalculate the solvency position where necessary.

- Required Solvency Margin: **BDT 150 million**
- Adjusted Available Solvency Margin: **Negative BDT 210 million**

Since the adjusted available solvency margin is significantly below the required level, **Guardian Assurance** Bangladesh Ltd. fails to meet the statutory solvency margin requirement. Accordingly, the insurer is non-compliant with Section 43 of the Insurance Act, 2010.

Answer to the Question# 6(c):

Legality of the Proposed Transfer from Life Fund and Declaration of Dividend

Transfer from Life Insurance Fund

Under **Section 26(4)** of the Insurance Act, 2010, the Life Insurance Fund is required to be maintained exclusively for the benefit and security of life insurance policyholders, and it cannot be applied in any manner prejudicial to their interests.

Given that:

- The insurer has a negative adjusted solvency margin; and
- Significant claim amounts remain unsettled for more than six months,

any transfer from the Life Insurance Fund to the Shareholders' Fund would directly undermine policyholder protection and is therefore **prohibited under Section 26(4)**.

Declaration of Dividend

Under Section 82(1) of the Insurance Act, 2010, no insurer carrying on life insurance business shall declare or pay any dividend or bonus except out of an actuarial surplus disclosed by a valuation of liabilities. Further, Section 82(2) effectively restricts distribution of surplus where statutory obligations, including solvency and policyholder liabilities, are not fully met.

Since:

- The insurer does not meet the statutory solvency margin under Section 43; and
- The Life Insurance Fund cannot be used for shareholders' benefit,

the proposed:

- Transfer of BDT 120 million from the Life Fund, and
- Declaration of BDT 80 million as final dividend are illegal and void under Sections 26(4), 43, and 82 of the Insurance Act, 2010.

Answer to the Question# 7(a):

The termination amounts to retrenchment under Section 2(11) of the Labour Act, 2006 (amended in 2018), as it arose from operational restructuring.

Answer to the Question# 7(b):

Automation does not justify denial of retrenchment benefits, which are mandatory under Sections 20 and 26.

Answer to the Question# 7(c):

The employer may face civil liability and criminal prosecution for statutory violations.

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